DAY 2 · VENDOR OPERATIONS

# Should we really penalize 3,000 sellers?

> *"Leadership is furious about dispatch delays and wants a blanket penalty on all 3,000 sellers. Before we trigger a seller revolt: who is actually breaking our promises? I need defensible names on my desk today."*
>
> **Camila Duarte**, Head of Vendor Operations

**46,219**
order items analysed

**3,000**
sellers facing a penalty

**6 months**
January to June 2018

Prepared by Shatayu Roy · MySQL analysis of the public Olist dataset, January to June 2018 · Simulated case

THE BRIEF

# What needed to be checked

### Camila’s questions

- Are sellers missing their dispatch deadline more often?
- Does a late dispatch reach the customer?
- Which sellers should be named?

### My own checks

- Does a seller delay alone hurt the review?
- Does the result hold at a different breach limit?
- Did some ‘improved’ sellers simply stop selling?
- Are any dates impossible?

THE ANSWER

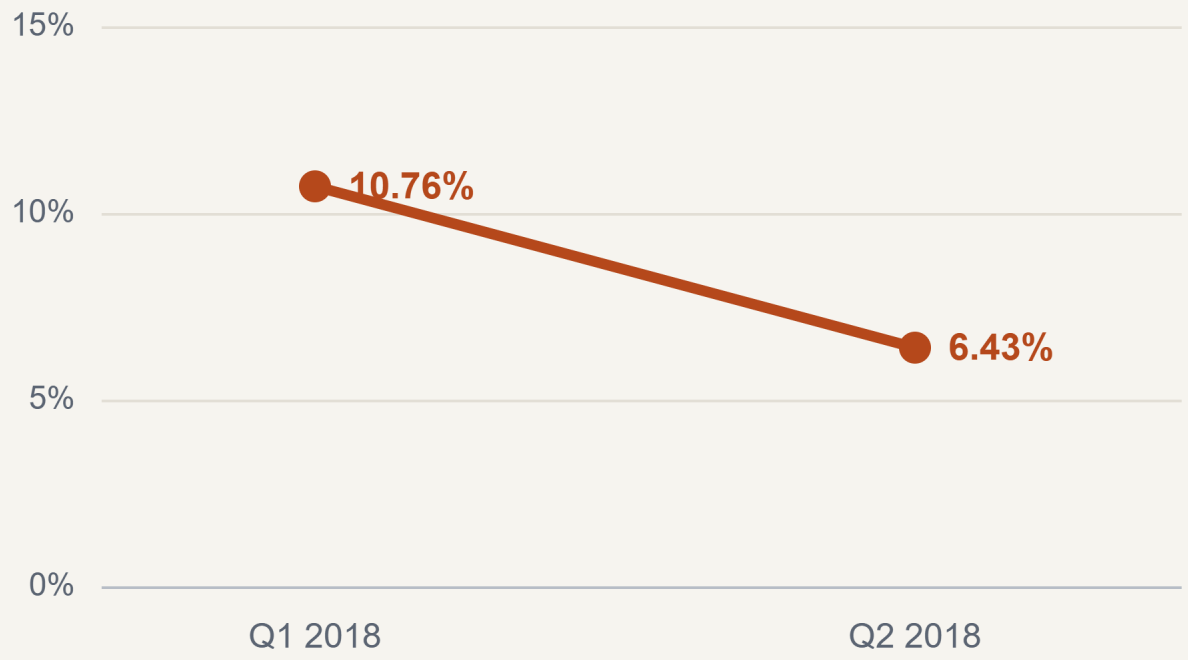
# No blanket penalty: 12 sellers drive 43% of seller-caused late deliveries

| | |
|---|---|
| 1 · TREND | Seller dispatch breaches fell from 10.76% in Q1 to 6.43% in Q2. |
| 2 · REACH | Only 0.97% of Q2 items reached the customer late because of the seller. |
| 3 · REVIEWS | A seller delay the courier made up for scored 4.12 stars, almost a clean 4.23. |
| 4 · NAMES | 12 sellers caused 95 of 220; only 7 also had a bad Q1. |

1 · TREND

# Sellers already miss fewer deadlines: breaches fell from 10.76% to 6.43%

**Share of items dispatched after the seller's deadline**




## 2,537 → 1,457

breached items, Q1 to Q2, while item volume stayed flat (23.6k vs 22.6k)

## Customers felt it too

Day 1: orders delivered late fell from 12.88% to 4.17% over the same months, so the crisis was already easing.

Delivered items grouped by purchase date · Olist delivery audit · Day 2

2 · REACH

# 85% of late seller dispatches still reached the customer on time

| | Customer got it on time | Customer got it late |
|---|---|---|
| **Seller on time** | **Clean delivery** 90.59% 20,513 items | **Carrier late** 2.98% 675 items |
| **Seller late** | **Rescued by courier** 5.46% 1,236 items | **Seller caused it** 0.97% 220 items |

**85%**

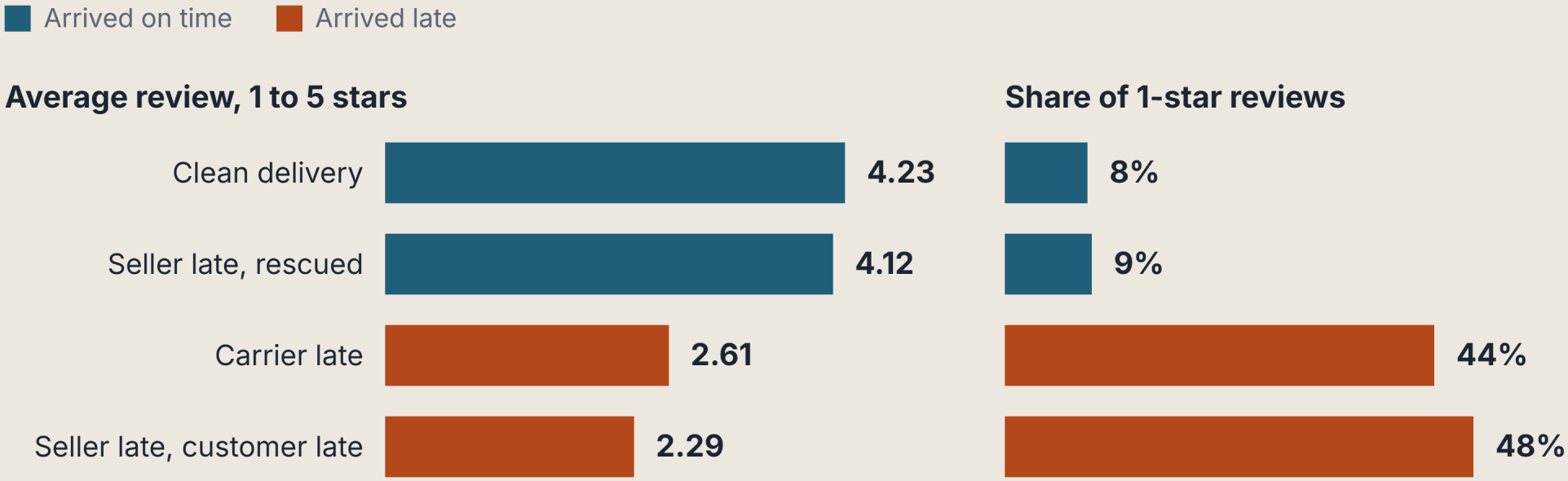
of late seller dispatches (1,236 of 1,456) still arrived on time.

Carrier-caused late deliveries (675) were about 3 times the seller-caused ones, the same pattern as Day 1.

Q2 2018 delivered items, 22,644 in total · Olist delivery audit · Day 2

3 · REVIEWS

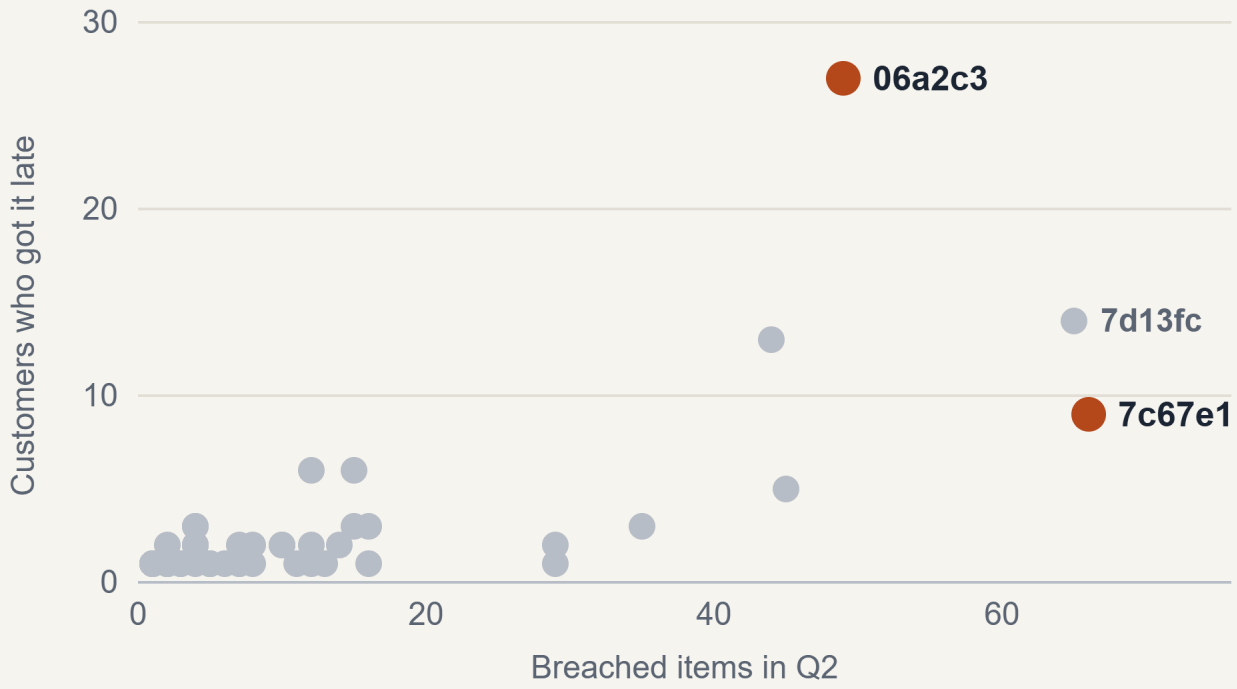
# Reviews punish late arrival, not seller delay




**Customers of high-breach sellers gave 3.94 stars on average, against 4.19 for other sellers with 20+ items.** The gap is real but moderate, and it likely follows the late deliveries those breaches cause.

4 · NAMES

# Counting breaches blames the wrong seller




## 06a2c3

49 breaches, 27 late customers. More than half of its breaches reached the customer.

## 7c67e1

66 breaches, the most of anyone, but only 9 late customers.

Each dot is one Q2 seller with 20+ items and at least one late customer (49 sellers) · Olist delivery audit · Day 2

4 · NAMES

# History is not enough: chronic sellers explain only a third of the harm

| | Q2: under 10% breached | Q2: 10% or more |
|---|---|---|
| **Q1: 10% or more breached** | **Reformed**<br>11<br>late customers · 33 sellers | **Chronic**<br>75<br>late customers · 25 sellers |
| **Q1: under 10%** | **Compliant**<br>17<br>late customers · 80 sellers | **Got worse**<br>3<br>late customers · 8 sellers |

Not shown: 96 sellers with too little history (43 late customers) and 14 who exited.

**Limit test**

At 15%, chronic sellers drop from 25 to 15, but their late customers only from 75 to 68.

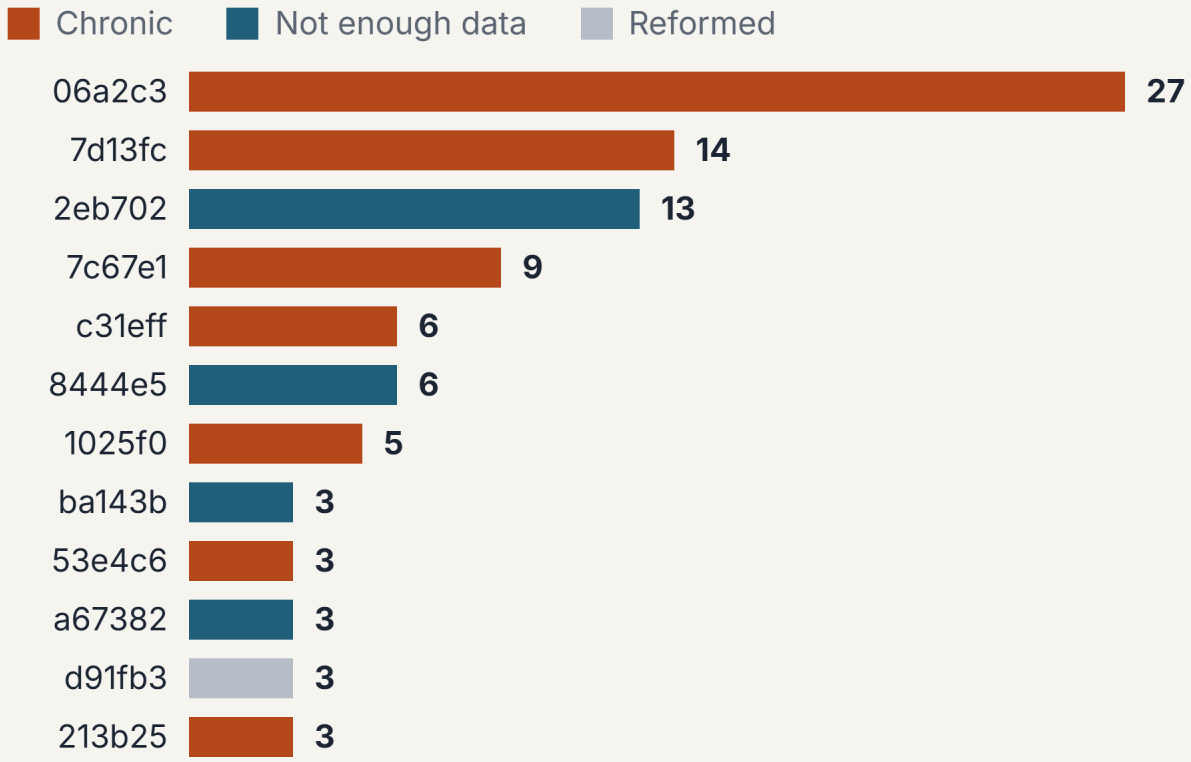
**Reformed or exited?**

14 sellers almost stopped selling in Q2 (under 5 items), so they are labeled exited, not reformed.

Sellers with 20+ items in both quarters; breach limit 10% of items · Olist delivery audit · Day 2

4 · NAMES

# The 12 names: 43% of seller-caused late deliveries




**43%**

95 of 220 seller-caused late deliveries in Q2 came from these 12 sellers.

Only 7 of the 12 were chronic. 4 had too little history, and 1 counted as reformed by breach rate but still made 3 customers late.

Rule: 20+ items in Q2 and 3+ late customers caused by the seller's own delay · Olist delivery audit · Day 2

WHAT TO DO

# Recommendations

12

### Review, then act

Check each seller’s orders, products and regions, then agree an action with them. No blanket penalty.

**From findings 3 and 4**

96

### Monitor new sellers

Too little history to judge fairly. Re-check them after Q3 instead of penalizing now.

**From finding 4**

3×

### Fix the carrier side too

Carrier-caused late deliveries (675) were about 3 times the seller-caused ones (220).

**From finding 2 and Day 1**

**Success measure:** late deliveries caused by these 12 sellers in Q3, compared with 95 in Q2.

WHY IT MATTERS

# What the company gains by targeting 12 sellers

**95**

### Late deliveries avoided, at most

If the 12 fix their dispatch and couriers deliver on time, seller-caused late deliveries fall from 220 to as few as 125 a quarter: from 0.97% to about 0.55% of items.

**~38**

### Fewer 1-star reviews (estimate)

Those late deliveries get 48% 1-star reviews, against 8% when on time. About 38 fewer 1-star reviews a quarter, a rough estimate.

**0.4%**

### Of sellers touched

12 of about 3,000. The rest keep selling with no penalty, so the platform does not risk losing good sellers.

**Bigger lever next:** carriers caused 675 late deliveries in Q2, three times more than sellers. Money value is not measured here; Day 3 looks at cost.

NOTES

# Data notes and limitations

**715**

items with impossible dates. Removing them moves the breach rate 0.2 points at most.

**15%**

limit tested instead of 10%: the same 15 sellers keep most of the harm.

**Items**

counted, not orders, because the seller deadline is set per item.

### What could change the picture

- Reviews are per order but counted per item; two-seller orders share one review.
- The review gap for high-breach sellers is a link, not proof of cause.
- The four-box matrix covers Q2 only; the 20-item, 10% and 3-customer limits are judgment calls.

NEXT · DAY 3 · FINANCE

# Are we bleeding cash on interstate freight?

Day 2 found that most seller delays never reach the customer, and 12 sellers cause 43% of those that do. The next morning, Finance asks a different question: what is all this delivery costing us?

> *"We have complaints about delivery fees exceeding product prices. Are we bleeding cash on interstate logistics? Audit our corridor economics before the board meeting."*
>
> **Henrique Silva**, Chief Financial Officer

SQL queries, results and this deck: **github.com/shatayuroy77-netizen/olist-logistics-margin-audit**